



Fundamentals of Human Resource Management (HRM1)

Module 1: Foundations of HRM

Lesson 1: Nature, Meaning and Functions of HRM

Lesson Notes

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What Is HRM?

Human Resource Management (HRM) is the strategic and coherent approach an organisation takes to managing its people. Its goal is to maximise employee performance and contribution to the organisation's success.

Employee life cycle: the stages an employee moves through: attraction, recruitment, onboarding, development, performance, compensation, and eventually exit.

In practice, HRM means planning, organising, directing, and controlling four things: sourcing people, developing people, compensating people, and maintaining and separating people.

Example: Stanbic Bank Uganda employs thousands of staff. HRM there is the entire system deciding how a person is recruited, trained, paid, reviewed, and eventually exits.

Key idea: HRM is not just admin work. It is a strategic function, meaning good HRM decisions directly affect whether an organisation succeeds or struggles.

The Six Key Functions of HRM

- 1. Recruitment and Selection:** attracting, screening, and hiring the right people. In Uganda this combines platforms like BrighterMonday with referral networks.
- 2. Training and Development:** continuously improving employee skills, often through graduate trainee programmes lasting six to twelve months.
- 3. Performance Management:** evaluating job performance through clear goals and periodic appraisals.
- 4. Compensation and Benefits:** salary, allowances, bonuses, health insurance, and NSSF pension contributions.
- 5. Employee Relations:** handling grievances and workplace conflict, in line with the Employment Act, Cap. 226.
- 6. HR Planning:** forecasting future staffing needs and building strategies to meet them.

These six functions are interconnected, not separate boxes. Weak recruitment creates problems training later has to fix; weak performance management makes fair compensation harder to decide.

Reflect: Which of these six functions is strongest in an organisation you know, and which is weakest?

Why HRM Matters, and Its Challenges

Good HRM improves productivity, strengthens competitiveness, supports business strategy, builds engagement, and ensures legal compliance.

Example: an agro-processing company in Jinja that trains supervisors and pays fairly retains skilled staff longer than a competitor that treats HR as an afterthought.

Common HR challenges: managing diversity across Uganda's ethnic and regional backgrounds, adapting to changing business conditions, retaining top talent, balancing employee and organisational needs, and aligning HR with strategy.

***Reflect:** Which of these challenges is hardest for a growing Ugandan organisation to manage?*

The Role of the HR Professional

Ulrich (1997) frames the HR professional's job as four roles, explored further as a formal model in Module 3.

Strategic Partner: sits with senior leadership, ensuring HR supports overall goals.

Change Agent: leads and manages transitions such as restructuring or new systems.

Employee Advocate: represents employee interests and wellbeing.

Expert in HR Practices and Laws: stays current on labour law, including the Employment Act, Cap. 226, and best practice.

Conclusion: HRM plays a vital role in organisational success. Effective HR professionals are strategic, adaptable, and knowledgeable, not just administrative.